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Entrepreneurship: New Ventures

Introduction

This class gives you the chance to dive deep into developing an idea for a new venture. Whether you have just come up with a new business idea or you want to keep developing an existing idea, you are welcome to do that as your main term project in this course. In all cases, there is a lot to learn about what it takes to make your project ready to receive an investment: you should validate a business opportunity with customers, define the co-founder and shareholder relationships, and do your homework with a business Deck to convince resource providers (such as business angels or venture capital investors) to support you. The course ends with a presentation to investors who will evaluate a selection of projects just like any other project that is pitched to them. The final presentation will be based on your team project, which must be carried out in small teams. **Start forming teams of 4 as soon as possible.**

Objectives

The course will provide an opportunity to learn about the following:

1. The process and methodology of new venture business development
2. Foundational issues involved in starting a company
3. Exposure to the fund-raising process and communicating to professional investors

Content

The course will be based on case studies (30%); lectures and panels (30%) and student presentations and pitches (40%).

The course has three modules that overlap in time:

1. **Generating and Validating Business Opportunities** – You may be working on a business idea from scratch, or you may have already made progress on your idea before this elective begins. In either case, you will need identify and validate the most profitable business opportunity and business model possible before you can obtain key resources such as funding for your project.

2. **Dealing with Founding Team Challenges**– A major reason for start-ups to die is conflict within the founding team. Over the course we will see different cases on this critical aspect that is pervasive but often not given the due importance or swept under the carpet by first-time entrepreneurs.
3. **Communicating Effectively with Resource Providers** – The main requirement for resource providers, such as investors or co-founders, is a clear explanation of why your project is worth their effort to support. You will need to develop a business plan in the form of a slide deck which you may present to experienced investors at the end of the course.

Evaluation

Grading is based on individual contribution to class learning (50%), and project work carried out throughout the term (50%) as explained below.

Contribution to class learning (50%)

Contribution will be determined by active participation in class discussions and workshops and the student's ability to demonstrate that he/she has prepared the materials assigned to a particular class both in terms of quality and quantity.

Project work (50%)

Involves 4 deliverables throughout the term related to assessing interest for your team's product / service in the market, analysing the economics of the project, and creating a slide deck of a business plan that explains your project to resource providers.

Evaluation by the professor will be mainly based on the following criterion:

How strong is the justification for the decisions you've made related to the project, on issues such as customer demand, pricing, choice of business model, revenue targets? Have you used real data from potential customers, suppliers, competitors?

Feedback on the project work is provided throughout the term by classmates and the professor. The deadline for the final submission is at 6 pm on December. 4th.

A useful guide to organize the final business plan slide deck is provided by one of the leading venture capital firms called Sequoia Capital, here: <http://www.sequoiacap.com/grove/posts/6bzx/writing-a-business-plan>

For all deliverables throughout the term, you should upload the submissions to Blackboard. Include the following information in your team's submission / presentation document:

- 1) The main contribution of each team member during the preparation of deliverable
- 2) Specific issues on which you want feedback from classmates / professor

Course Outline & Bibliography

TITLE OF SESSION & MATERIAL

Session 1	Course Introduction	Lecture & Panel of NAVEI entrepreneurs from previous courses
Session 2	Ideas presentation & initial selection	Pitching ideas to find teammates
Session 3	The Lean Start-up	Case: DropBox
Session 4	Testing a business opportunity	Case: Intuit Inc: AgriNova
Session 5	The path to Product Market Fit	Short lecture & Entrepreneur Panel
Session 6	<i>Value Proposition Canvas Presentation 1 (deliverable) What are the 3 most critical assumptions you need to verify?</i>	<i>Pitch & Feedback</i>
Session 7	<i>Value proposition Canvas Presentation 2 (deliverable) What are the 3 most critical assumptions you need to verify?</i>	<i>Pitch & Feedback</i>
Session 8	Founders' agreements	Case: Healthcraft
Session 9	Shareholder management and conflicts	Short Lecture & Panel
Session 10	Startup financial projections - VC perspective <i>Guest Giovanni Bologna</i>	Hybrid lecture & guest case
Session 11	<i>Competitive landscape, Minimum Viable Product & Selecting a beachhead market (deliverable)</i>	<i>Pitch & Feedback</i>
Session 12	<i>Competitive landscape, Minimum Viable Product & Selecting a beachhead market (deliverable) - 2</i>	<i>Pitch & Feedback</i>
Session 13	A convincing presentation / Creating the Compelling Investor Deck <i>Guest Alper Rozanes</i>	Interactive lecture
Session 14	From Start to Unicorn <i>Guest Eduardo Ros – Glovo CFO</i>	Case: Glovo

Session 15	<i>Results of customer discovery (deliverable)</i>	<i>Pitch & Feedback</i>
Session 16	<i>Results of customer discovery (deliverable) - 2</i>	<i>Pitch & Feedback</i>
Session 17	Entrepreneur Life Story & how habits of Persuasive Communication can make a positive impact on your success <i>Guest Conor Neil</i>	Interactive lecture
Session 18	Entrepreneur/Investor Relationship	Short lecture & Panel
Session 19	<i>Final presentations I (Deliverable) – Guest FINAVES</i>	<i>Presentation</i>
Session 20	<i>Final presentations II (Deliverable) – Guest FINAVES</i> + <i>What is the impact of current economical and political situation in the early stage financing Market</i>	<i>Presentation</i> <i>Lecture</i>
Session 21	<i>Meet the investors (Deliverable)</i>	<i>Presentation</i>

Bibliography

“Disciplined Entrepreneurship” by Bill Aulet.

“The Lean Product Playbook” by Dan Olsen

Professor's Biography



Prof. Mathieu Carenzo

Lecturer of Entrepreneurship

Business Angel – **Glovo, Bizaway, Trioteca, Amphora Logistic, LastSmile, Talmix, Fabbri, etc...**

Founding Partner-**Venture Hub**

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Mathieu is a lecturer in the Entrepreneurship Department. He is a seasoned entrepreneur and dynamic Business Angel with current investments in unicorns such as Glovo; Scale ups like Bizaway, Trioteca or Amphora Logistics and promising start-ups such as Fabbri, Syniva or Funos...

Mathieu holds a Master in International trade from ESSCA in France and a MBA from IESE business School. He currently teaches in the MBA and the GEMBA and has extensive experience teaching programs in 3 different languages (English, Spanish and French) and 4 continents.

Mathieu is one of the 3 founding partners of Venture Hub, a consulting firm supporting the scale of high growth start-ups and the development of entrepreneurial skills in the society at large.

Previously, he was a managing partner in Nero Ventures; a boutique VC Fund based in Spain focusing on technology services companies operating in the B2B and B2B2C markets. Examples of portfolio companies are Exoticca or Signaturit.

Earlier, Mathieu worked in different positions in Europe and America mostly in corporate entrepreneur positions. After an experience in Danone to start his career, he worked in AIRBUS helicopter where he led the growth of the company in Mexico, Caribbean, and Central America building his expertise in the settlement of new structures and development of new markets.

Education

MBA from IESE Business School

Bachelor of Science in International Marketing from ESCCA (Ecole Supérieure des Sciences Commerciales d'Angers.- France).

Areas of interest

Development of new business opportunities

Early stage and growth investment

Innovation and Corporate Venturing

Detailed Outline

Pre-course Assignment: SCORM - Navigating Entrepreneurial Dilemmas

Due date: September 8th – 11:59 PM

Session 1	Course Intro
Activity	Lecture & presentation of NAVEI resources & Panel of previous NAVEI Students Now Entrepreneurs
Preparation	Make sure you come prepared with questions you will ask former NAVEI students to master the course and take the most of it.
Session 2	Find your teammates
Activity:	Business idea pitch
Preparation:	- Whether you want to work on a new business idea or you want to further develop an existing startup project that you've already worked on before this elective, come to class ready to do a short "pitch" so that classmates can decide whether to join your project team during this elective. - In your pitch, which should be under 2 minutes, state only the following points: - What problem do you want to solve, and for what type of customers? - What is the solution that you propose? - After the class, enter your business idea and begin team formation by entering information here: https://goo.gl/0nhW8X Project champions who pitched the idea should keep the information on that page up-to-date. Other students should review the same page before class for each of the next few sessions.
Session 3	The Lean Start-up
Case:	DropBox "it just works"
Preparation:	Why was Dropbox so successful at inception; early growth and initial scale?
Required reading	"Why the lean start-up changes everything" de Steve Blank, Harvard Business Review, 91(5): 63-72.
Session 4	Testing a business opportunity
Case:	Intuit Inc: AgriNova (HBS) 9-813-062
Preparation:	- What are the key uncertainties facing Intuit's proposed solution? Another way to think about it is: what assumptions would you need to make in order to conclude that this represents a significant business opportunity worth launching? - How can the team test those assumptions? What sequence of steps should they take in order to validate this business opportunity at the lowest possible cost? Be specific about the steps and the costs.

3. Review and update team formation info here: <https://goo.gl/0nhW8X>

Session 5

The path to Product Market Fit

Activity:

Short Lecture & panel of entrepreneurs

The path to product market fit is a process of reaching increasingly stronger market validation. We will discuss the MVP and Product Market Fit stages of the journey through a lecture and a panel sharing his/her experiences on this topic.

Required Reading:

Do entrepreneurs need a strategy - HBR reprint R1803B

Review and update team formation info here: <https://goo.gl/0nhW8X> If you are looking for teammates for the term project, come to class with an idea of how to proceed. **Team formation should be finished within this day.**

Session 6

What are the 3 most critical assumptions you need to verify? & Value Proposition Canvas 1 (deliverable)

Activity:

Presentations

Preparation:

1. Prepare a presentation of 2 slides:
 - 1) Slide 1 – Value Proposition Canvas of your project.
 - 2) Slide 2 - What are the 3 most critical assumptions you need to verify and how do you plan to do it?
 - 3) You will have no more than 10 minutes to present in front of the class.
2. Please upload your presentation before class so that we are ready to start first minute of the class.
3. Deliverable submission deadline: 6 pm on the day of this session. Upload (one submission per team) a Pdf or a PowerPoint file of your Landscape Monitor.

Reading

Business Model Design Manual. C.Zott & R. Amit. 2014.

Session 7

What are the 3 most critical assumptions you need to verify? & Value Proposition Canvas 1 (deliverable)

Activity:

Presentations

Preparation:

1. Prepare a presentation of 2 slides:
 - 1) Slide 1 – Value Proposition Canvas of your project.
 - 2) Slide 2 - What are the 3 most critical assumptions you need to verify and how do you plan to do it?
 - 3) You will have no more than 10 minutes to present in front of the class.
2. Please upload your presentation before class so that we are ready to start first minute of the class.
3. Deliverable submission deadline: 6 pm on the day of this session. Upload (one submission per team) a Pdf or a PowerPoint file of your Landscape Monitor.

Reading	Business Model Design Manual. C.Zott & R. Amit. 2014.
Session 08	Founders' agreements
Case:	Healthcraft (HBS) 9-813-101
Preparation:	1. What factors should be included in the founders' agreement? 2. How should the founders split the equity?
Session 09	Shareholder management and conflict
	Panel of entrepreneurs.
Session 10	Startup financial projections - VC perspective – Guest Giovanni Bologna
Activity:	Hybrid session & Guest case
Description:	Do startups need financial projections? Why are they an important exercise in new ventures? How do entrepreneurs' approach this and what do VCs look for in order to make investment decisions? We will invite a VC partner to give us his perspectives on this topic and what process he uses to identify attractive opportunities
Preparation:	1. Calculate the revenues that a startup with your project's characteristics can generate. Benchmark the pricing and the pace of customer acquisition with similar ventures. 2. Prepare to calculate the ongoing costs involved in operating a startup with your project's characteristics. Gather cost data for customer acquisition, serving the customer, and after-sale service. 3. Focus on the first 12 months of the project.
Session 11	Present the competitive landscape, Define the minimum viable product & Select beachhead market
Activity:	Presentations
<u>Deliverable:</u>	Yes, see preparation instructions below.
Required Reading:	Pages 43-48 in the book “Disciplined Entrepreneurship” by Bill Aulet - Access to complete e-book is available at IESE Library (may require login): http://site.ebrary.com/lib/ieselibrary/detail.action?docID=10740434 Pages 89 to 110 in the book “The Lean Product Playbook” by Dan Olsen Blog post by Steve Blank: A New Way to Look at Competitors: https://goo.gl/UUIwQI
Preparation:	1. Each team will present (in less than 10 minutes) in 3 slides

- a) The competitive landscape of your project.
 - b) Your minimum viable product (MVP) will be in order to show potential customers. The required reading describes the available alternatives. Choose one or two types of MVPs most suitable for your project at its current stage of development. After this session, you will create the MVP and show it to potential customers. Record these customers' names and their responses for reporting in a later workshop.
 - c) Your initial ("beachhead") market segment target using the criteria described in the required reading.
2. Deliverable submission deadline: 6 pm on the day of this session. Upload (one submission per team) a Pdf or a PowerPoint file.

After Session Assignment : SCORM - Key Insights on How Entrepreneurs Fool Themselves

Due date: November 10th – 11:59 PM

Session 12	Present the competitive landscape, Define the minimum viable product & Select beachhead market
Activity:	Presentations
<u>Deliverable:</u>	Yes, see preparation instructions below.
Required Reading:	Pages 43-48 in the book “Disciplined Entrepreneurship” by Bill Aulet - Access to complete e-book is available at IESE Library (may require login): http://site.ebrary.com/lib/ieselibrary/detail.action?docID=10740434

Pages 89 to 110 in the book “The Lean Product Playbook” by Dan Olsen

Blog post by Steve Blank: A New Way to Look at Competitors: <https://goo.gl/UUIwQI>

Preparation:	1. Each team will present (in less than 10 minutes) in 3 slides a) The competitive landscape of your project. b) Your minimum viable product (MVP) will be in order to show potential customers. The required reading describes the available alternatives. Choose one or two types of MVPs most suitable for your project at its current stage of development. After this session, you will <u>create the MVP and show it to potential customers</u>. Record these customers' names and their responses for reporting in a later workshop. c) Your initial ("beachhead") market segment target using the criteria described in the required reading. 2. Deliverable submission deadline: 6 pm on the day of this session. Upload (one submission per team) a Pdf or a PowerPoint file.
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Session 13	Creating the Compelling Investor Deck
Activity:	Interactive Lecture – Guest Alper Rozanes

Description: When facing potential investors, your message will need to create the maximum impact within a minimum amount of time. Is your deck ready to do just that? If not, you'll probably lose to the ones that are.

And how about you as the speaker? How will you attract people, inspire them and get them to respond to your message or invest in your project?

Creating a compelling investor deck is a process that involves business thinking, audience analysis, creativity, and problem solving. We will investigate these by focusing on the 3 main pillars of a successful presentation: Content, design and delivery.

Preparation: **Reading 1: How to Present to Senior Executives**
<https://hbr.org/2012/10/how-to-present-to-senior-execu>
Reading 2: Structure Your Presentation Like a Story
<https://hbr.org/2012/10/structure-your-presentation-li>
Reading 3: Do Your Slides Pass the Glance Test?
<https://hbr.org/2012/10/do-your-slides-pass-the-glance-test>

Session 14 **From Zero to Unicorn**
Guest Eduardo Ros

Case **Glovo – From the start to Unicorn**

Questions

1. What is the Value Proposition of Glovo? To whom is the Value Proposition addressed? What job is Glovo doing for the client?
2. What is the Business Model of Glovo? How is the company delivering its Value Proposition to customers? Why?
3. How would you rate the results of Glovo's leadership team from the start of operations until today? Why? Do you see any turning point?

Session 15 **Results of customer discovery**

Activity: **Presentations**

Deliverable: **Yes, see preparation instructions below. Submit slides by 6 pm same day.**

Preparation: As a team, prepare the following 3 slides to present in class:

Slide 1: Show us the minimum viable product that you have shown to potential customers.

Slide 2: List the types of customers who have responded to you versus those that did not (this provides an indication of perceived value)

Slide 3: Share illustrative responses from selected customers (positive / negative) and the customers' names / organizational affiliations.

Session 16 **Results of customer discovery**

Activity: **Presentations**

Deliverable: **Yes, see preparation instructions below. Submit slides by 6 pm same day.**

Preparation: As a team, prepare the following 3 slides to present in class:

Slide 1: Show us the minimum viable product that you have shown to potential customers.

Slide 2: List the types of customers who have responded to you versus those that did not (this provides an indication of perceived value)

Slide 3: Share illustrative responses from selected customers (positive / negative) and the customers' names / organizational affiliations.

Session 17 **Entrepreneur Life Story & how habits of Persuasive Communication can make a positive impact on your success.**

Activity: **Interactive lecture - Guest Conor Neill**

After Session Assignment: SCORM - Key Criteria for Early-Stage Investors

Due date: December 2nd – 11:59 PM

Session 18: **Entrepreneur/investor relationship:**

Panel of entrepreneurs and investors

Preparation **Video : Don Valentine on how Sequoia thinks about VC investments**
<https://www.youtube.com/watch?v=nKN-abRJMEw>

Sessions 19 - 20 **Final presentations 1 & Final presentations 2**

Activity: **Project presentations to class.** Instructions will be provided in advance.

Session 21 **Meet the investors**

Activity: **Project presentations to investors. Submit business plan by 6 pm, the day before.**

Selected projects will have the opportunity to go over their presentation with Alper Rozanes – [ALPER ROZANES | LINKEDIN](#) - one week before session 20.

Additional Information for Reporting and Accreditation purposes

Learning Goals & Learning Objectives

LG1: Entrepreneurial mindset

LO 1. Students will support an innovation mindset and bring creativity into problem solving.

LO 2. Students will assess and develop the skills of the entrepreneurial manager.

LO 3. Students will be able to turn an idea into a revenue-generating business, in the context of a start up.

LO 4. Students will be able to design the business model, gather resources, and communicate the new opportunity to stakeholders.

LO 5. Students will identify the catalysts of personal and organizational change to promote the entrepreneurial and innovative behavior that allows adaptation to changing business environments.

Competences

Basic

CB6. Possess and understand knowledge that provides a basis or opportunity to be original in the development and / or application of ideas, often in a research context.

CB7. The students know how to apply the knowledge acquired and their ability to solve problems in new or unfamiliar environments within broader (or multidisciplinary) contexts related to their area of study.

CB8. The students can integrate knowledge and face the complexity of formulating judgments based on information that, being incomplete or limited, includes reflections on social and ethical responsibilities linked to the application of their knowledge and judgments.

CB9. Students know how to communicate their conclusions and the knowledge and ultimate reasons that support them to specialized and non-specialized audiences in a clear and unambiguous way.

CB10. Students possess the learning skills that allow them to continue studying in a way that will be largely self-directed or autonomous.

General

CG5. Show entrepreneurial behavior, initiating and promoting the necessary changes with energy and personal responsibility.

CG6. Prioritize objectives, schedule activities appropriately, and execute them within the scheduled time.

CG7. Identify and deal effectively with information relevant to their work.

Specific

CE01. Apply a structured and rigorous process of analysis of business situations and decision making that incorporates the following phases: diagnosis of the problem, selection of criteria, identification of alternatives, weighted analysis, and identifying an alternative with its consequent action plan.

CE02. Prepare structured, synthetic, and clear executive reports for the analysis and decision-making of business situations.

CE03. Critically analyze and interpret the content of a company's balance sheet, income statement, and cash flow statement to diagnose problems and make decisions. Develop criteria to understand the limitations of financial information and its subjective nature.

CE04. Understand and apply judiciously quantitative tools to analyze and make decisions. Understand the assumptions implicit in the models and the limitations and risks of the models when putting them into practice.

CE05. Measure and become aware of the personal attitude towards risk and uncertainty. Learn methods to identify risk factors, evaluate them and study their impact on decisions. Perform sensitivity studies, advanced simulations, and scenario analysis.

CE06. Adopt an anthropological and sociological model based on academic studies that explain organizational behaviour and emphasis concepts of motivation, trust, authority, power, and commitment. Guide the model to analysis and action in the organization of work, management styles, and the creation of company cultures.

CE07. Apply the techniques and skills in handling situations with others, to effectively manage teams and resolve conflicts in multicultural environments.

CE08. Acquire coaching skills to identify and develop talent in the members of an organization. Learn techniques to give and receive feedback, observe, and measure skills, and facilitate their development

through the design of work experiences.

CE09. Design or improve work relations and policies. Understand the evaluation and incentive systems, promotion, development, training, organizational culture, and the role of the different agents inside and outside the organization that affects work relations.

CE10. Strengthen the leadership skills of teams and companies, starting with self-knowledge and understanding the different types of temperaments and their way of interacting. Know the state of the art of empirical research in this field.

CE11. Learn the instruments and control mechanisms to prevent, detect and resolve fraud, corporate scandals, and crime in organizations.

CE12. Assume the criteria and rules for the ethical analysis of decisions as their own. Know the traditional ethical thought systems and develop a critical spirit about their advantages and disadvantages. Develop the ethical sense in any decision-making in the organization. Understand the existing incentives around these decisions.

CE13. Understand the opportunities associated with Corporate Social Responsibility (CSR). Being able to develop a strategic CSR plan using a variety of planning tools.

CE14. Analyze the general structure of operations and their elements, design optimized operations and logistics systems, with attention to processes, queues, and inventory management.

CE15. Command of operations projects in various environments, acquiring the ability to obtain specific results applicable to the environments under study. It requires a great capacity for a vision of short and medium-term objectives.

CE16. Implement product and service delivery strategies that integrate all the actors in the production chain: suppliers, manufacturers, distributors, and customers.

CE17. Analyze data using multivalent regression techniques with cross-sectional models and time series. Understand the underlying concepts and assumptions.

CE18. Analyze markets and new business opportunities. Design rigorous, relevant, and effective market research. Understand with depth and put into practice the concepts of segmentation, targeting, and positioning.

CE19. Analyze consumer behaviour using empirical analysis tools and theoretical models of human behaviour.

CE20. Learn to develop new products or reposition existing products through distribution, price, and communication policies. Manage brands.

CE21. Design marketing strategies that incorporate and take advantage of information systems and new social networks.

CE22. Estimate the operational needs of funds and choose the most appropriate financial products for their financing: credit policies, factoring, confirming, terms of collection and payment with customers and suppliers, etc.

CE23. Optimize capital structures to maximize the value of the company and develop a critical sense to relativize estimates and identify risk and sensitivity factors.

CE24. Value projects, assets, and businesses using various models (discounted cash flows, multiples, real options, liquidation value, accounting methods) and understand their limitations and implicit assumptions.

CE25. Know how financial markets work and how financial products such as shares, bonds, and derivatives are valued.

CE26. Analyze operational decisions economically (accept an order or not, manufacture or subcontract, withdraw a product, close a department, offer a discount, etc.) with the differential analysis of costs.

CE27. Design cost allocation systems to evaluate the profitability of products, clients, and departments. Understand the incentives and behaviours derived from the system within the organization.

Sustainable Development Goals (SDG)

For official reporting purposes, we are required to state below the Sustainable Development Goals (SDGs) discussed in this course. This list is not intended to serve as an illustration of how to approach sustainability issues. We acknowledge that there might be other relevant topics on sustainability not included in the SDGs that might also be addressed in class.

SDG 1 – No Poverty

SDG 2 – Zero Hunger

SDG 3 – Good Health and Well-Being

SDG 4 – Quality Education

SDG 5 – Gender Equality

SDG 6 – Clean Water and Sanitation

SDG 7 – Affordable and Clean Energy

SDG 8 – Decent Work and Economic Growth

SDG 9 – Industry Innovation and Infrastructure

SDG 10 – Reduced Inequalities

SDG 11 – Sustainable Cities and Communities

SDG 12 – Responsible Consumption and Production

SDG 13 – Climate Action

SDG 14 – Life Below Water

SDG 15 – Life on Land

SDG 16 – Peace, Justice and Strong Institutions

SDG 17 – Partnerships for the Goals